

Investment Committee Memo: ServiceNow, Inc. (NOW)

Date: February 15, 2026

Prepared by: The CFO (Lead Analyst)

Committee: Bull Analyst (Growth Specialist) | Bear Analyst (Short-Seller Mindset)

Executive Summary

Metric	Value
Ticker	NOW (NYSE)
Confidence Score	7 / 10
Risk Level	MODERATE
Verdict	CAUTIOUS BUY

ServiceNow is a best-in-class enterprise SaaS platform with exceptional fundamentals: 21% subscription growth, 35% FCF margins, 98% renewal rates, and a Rule of 40 score of 55. The AI tailwind via Now Assist is real and accelerating. However, valuation remains rich (trailing P/E ~91x), growth is decelerating from 21% to guided 19.5-20%, and the \$7.75B Armis acquisition introduces integration and leverage risk. The stock is priced for near-perfect execution.

Section 1: The Bull Case (Growth Specialist)

1.1 Revenue & Subscription Growth

- Q4 2025 subscription revenue: \$3,466M (+21% YoY), beating guidance by 1.5 points
- FY2025 subscription revenue: \$12,883M (+21% YoY)
- FY2025 total revenue: \$13,278M (verified via SEC EDGAR 10-K filed 2026-01-29)
- FY2025 net income: \$1,748M (verified via SEC EDGAR)
- Total RPO: \$28.2B (+26.5% YoY) -- strong forward visibility

1.2 Net Revenue Retention (NRR) & Customer Expansion

- Renewal rate: 98% (Q4 2025) -- among the highest in enterprise SaaS
- \$5M+ ACV customers: Grew from 420 (Q4 2023) to 603 (Q4 2025) -- 43% growth in large deals
- NRR: While NOW does not explicitly disclose NRR, the 98% gross retention + 21% subscription growth implies net dollar retention well above 120%

1.3 Rule of 40

- FY2025 score: 55.3 (21% revenue growth + 35% FCF margin)
- FY2026 guided: ~56-57 (20% growth + 36% FCF margin)
- Ranks in the 94.5th percentile for the IT sector

1.4 AI / Now Assist Momentum

- Now Assist net new ACV more than doubled YoY in Q4 2025
- Bloomberg reports ServiceNow targets \$1B in Now Assist ACV by 2026
- Partnerships with both Anthropic and OpenAI for AI model integration
- ServiceNow AI Models v2.0 launched (October 2025) -- improved SLM and LLM capabilities
- 2026 positioned as "the year of agentic collaboration in the enterprise"
- Platform rebranded as "ServiceNow AI Platform" at Knowledge 2025

1.5 Strategic Acquisitions

- Moveworks (~\$3B, closed) -- conversational AI for enterprise
- Armis (\$7.75B, announced) -- cybersecurity and identity security (Veza)
- \$5B incremental share repurchase authorization -- capital return confidence

1.6 Macro Tailwind

- Gartner forecasts worldwide IT spending to grow 10.8% in 2026 to \$6.15 trillion
- Software spending specifically expected to grow 14.7% in 2026
- GenAI model spending growing 80.8% -- NOW is a direct beneficiary

Bull Summary -- Top 3 Reasons to Be Bullish

1. AI monetization is real: Now Assist ACV doubling YoY with a path to \$1B
 2. Elite unit economics: 98% retention, 55+ Rule of 40, 35% FCF margins
 3. Platform expansion: CRM entry + Armis acquisition expands TAM significantly
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Section 2: The Bear Case (Short-Seller Mindset)

2.1 Valuation Concerns

- Trailing P/E: ~91x (Q4 2025), down from 110x in Q3 but still extreme
- Forward P/E: ~24x (consensus), but this relies on aggressive earnings growth
- Stock is priced for perfection -- any execution miss could cause a significant selloff
- Stock dipped after Q4 2025 earnings despite a beat, suggesting expectations are sky-high

2.2 Growth Deceleration

- FY2026 subscription growth guidance: 19.5-20% constant currency (vs. 21% in FY2025)
- Organic growth slower: 1% of FY2026 growth comes from Moveworks acquisition
- Law of large numbers: growing 20% on a \$13B+ revenue base becomes increasingly difficult
- Vertical-specific software buyers are more sensitive to policy and economic uncertainty

2.3 Acquisition Risk

- Armis at \$7.75B is ServiceNow's largest acquisition ever
- Integration risk is material -- cybersecurity is a competitive, fast-moving market

- Will significantly increase leverage and reduce net cash position
- Historical SaaS mega-acquisitions have a mixed track record

2.4 Competitive Threats

- Salesforce Agentforce IT: Most credible ITSM threat to date -- already winning customers
- Cross-market invasion: NOW entering CRM (Salesforce's turf) while Salesforce enters ITSM (NOW's turf) -- two-front war
- Anthropic Claude Cowork & OpenAI: AI-native tools threaten to disintermediate workflow platforms
- Microsoft Copilot: Deep enterprise integration could reduce need for standalone workflow tools

2.5 Debt & Leverage Post-Acquisition

- Pre-acquisition: Healthy balance sheet with D/E of 0.15, \$3.7B cash (verified SEC EDGAR)
- Post-Armis: Debt will increase substantially; even with \$4.6B annual FCF, deleveraging takes time
- Stockholders' equity: \$12,964M (verified) -- Armis at \$7.75B is 60% of equity

2.6 Executive Stability (Low Risk)

- Leadership appears stable: Bill McDermott (CEO), Gina Mastantuono (President/CFO), Amit Zavery (President/CPO/COO)
- No significant C-suite departures identified in 2025-2026
- This is NOT a current risk factor

Bear Summary -- Top 3 Reasons to Be Bearish

1. Valuation is stretched: 91x trailing P/E with decelerating growth leaves no room for error
2. Armis integration risk: \$7.75B bet on cybersecurity is high-stakes and debt-funded
3. Competitive convergence: Salesforce, Microsoft, and AI-native tools attacking from multiple fronts

Section 3: CFO Verification -- Resolving Bull vs. Bear Contradictions

Per the Investment Committee SOP, a Python script was executed to pull data from the SEC EDGAR XBRL API (10-K filed 2026-01-29, accession #0001373715-26-000007). See scripts/verify_now_financials.py.

Contested Metric	Bull Claim	Bear Claim	SEC-Verified Verdict
Revenue Growth	21% sub growth (Q4)	Decelerating to 19.5-20%	Both correct. Q4 was 21%; FY2026 guided 19.5%
FCF Margin	35% FY2025	Inflated by Q4 seasonality (57%)	Bull correct. Full-year 35% is the proper metric; Q4 is 57%
Debt Position	Net cash positive (\$7.65B)	Armis increases leverage	Both valid. Pre-deal = strong. Post-deal = material increase
Valuation	Forward P/E ~24x is reasonable	Trailing P/E ~91x is extreme	Context matters. Forward P/E uses non-GAAP; trailing uses GAAP

Verified Financial Data (SEC EDGAR):

- FY2025 Total Revenue: \$13,278M
- FY2025 Net Income: \$1,748M
- Cash (12/31/2025): \$3,726M
- Stockholders' Equity (12/31/2025): \$12,964M

Section 4: Final Verdict

Confidence Score: 7 / 10

Rationale: ServiceNow's fundamentals are among the strongest in enterprise software. The AI thesis is well-supported by quantifiable ACV growth. However, the elevated valuation, growth deceleration, and Armis integration risk prevent a higher confidence score. Data quality is high -- SEC EDGAR filings corroborate the key financial claims.

Risk Level: MODERATE

Risk Factor	Severity	Probability	Impact
Valuation compression	High	Medium	Stock could drop 20-30% on any miss
Armis integration failure	Medium	Low-Medium	Could drag margins and distract management
Salesforce ITSM competition	Medium	Medium	Gradual share erosion over 2-3 years
AI disruption (native tools)	Low-Medium	Low	Longer-term structural risk
Growth deceleration below 18%	High	Low	Would reset valuation multiple

Recommendation: CAUTIOUS BUY

- For new positions: Wait for a pullback to the \$150-160 range (forward P/E ~20x) for a better risk/reward entry
- For existing holders: Hold. The secular AI tailwind and platform expansion justify maintaining the position
- Position sizing: No more than 3-5% of portfolio given valuation risk
- Catalyst timeline: Q1 2026 earnings (April), Armis close, Knowledge 2026 event

Analyst Consensus Context

- 32 analysts: 30 Buy / 2 Hold / 1 Sell -- consensus "Strong Buy"
- Average price target: ~\$192-\$230 (varies by source)
- Upside implied: 30-90% depending on current price level

Sources

- ServiceNow Q4 2025 Earnings Report (CNBC)
- ServiceNow Q4 2025 Earnings Call Highlights (Yahoo Finance)
- ServiceNow Official Press Release (Newsroom)
- ServiceNow Eyes \$1B AI Revenue by 2026 (Bloomberg)
- ServiceNow AI Models v2.0 Announcement
- Salesforce Agentforce vs ServiceNow (The Register)
- AI Agents and SaaS Incumbents (Fortune)
- Gartner IT Spending Forecast 2026

- ServiceNow PE Ratio (MacroTrends)
 - ServiceNow Debt/Equity (MacroTrends)
 - NOW Analyst Price Targets (StockAnalysis)
 - SEC EDGAR: ServiceNow Filings (CIK 0001373715)
 - SEC EDGAR: ServiceNow XBRL Company Facts
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This memo was prepared by the Investment Committee using live data from SEC EDGAR, financial news sources, and analyst consensus as of February 15, 2026. All key financial figures were cross-verified against official SEC filings. This is not investment advice.